

Delinquent History of a Fictitious Auto Loan Owner: Customer #9427125

Introduction Customer #9427125 is a 47-year-old administrative coordinator living in Charlotte, North Carolina. In January 2022, she financed a mid-sized sedan through Southern Horizon Auto Finance. The loan totaled \$22,900 with a six-year term and a 6.8% interest rate. This document outlines her payment performance, financial disruptions, delinquency pattern, and resolution.

Stable Beginnings From January 2022 through February 2023, Customer #9427125 made every payment on time. Her monthly payment of \$378 fit comfortably within her budget, supported by a steady salary and supplemental weekend income from part-time event staffing work. Her credit score climbed from 662 to 689 during this period.

Household Crisis In March 2023, her adult daughter and two young grandchildren moved into her home unexpectedly following a family crisis. Over the next few months: - Household food and utility bills increased sharply - Daycare expenses became inconsistent - Medical visits for one grandchild added new bills

She missed her first payment in May 2023. After contacting Southern Horizon, she received a one-month extension.

Employment Disruption In July 2023, Customer #9427125's employer reorganized, resulting in reduced work hours and a temporary pay cut of nearly 25%. She attempted to keep up with her auto payments but missed July and August, placing her account 45 days past due.

Hardship Program Attempt The lender offered a hardship program: - Four months of \$220 payments - Deferred interest added to principal

The customer accepted and made modified payments in September and October. However, increased household costs and medical bills caused her to fall behind again in November and December.

Escalation to Severe Delinquency By January 2024, the account reached 60+ days delinquent. During a financial reassessment call, the customer explained that she had taken a second weekend job and was waiting on approval for housing assistance. The lender extended a temporary two-month forbearance while she stabilized her income.

Unexpected Medical Leave In April 2024, Customer #9427125 required surgery that forced her onto short-term disability at reduced income. She missed April, May, and June payments. Attempts to contact her were partially successful, but she struggled to commit to a repayment plan.

Repossession After 120 days of non-payment, Southern Horizon Auto Finance authorized repossession. The vehicle was recovered in July 2024.

Auction and Deficiency The vehicle sold at auction for \$12,400. The remaining deficiency balance was \$3,900 after fees and unpaid interest. Southern Horizon sent required notifications and offered repayment options.

Settlement and Recovery By October 2024, Customer #9427125 had returned to full-time work and secured childcare assistance. She contacted the lender to negotiate a settlement: - \$1,750 paid over 12 months - Remaining deficiency forgiven upon completion

She made all payments and completed the settlement in September 2025. Her credit report now lists the account as "Settled – Less Than Full Balance."

Analysis and Lessons Learned Customer #9427125's delinquency stemmed from multiple overlapping stressors: - Increase in household dependents - Loss of income from reduced work hours - Medical leave reducing pay - Rising living costs

Southern Horizon Auto Finance followed appropriate servicing and collections procedures, offering payment extensions, hardship restructuring, and a post-repossession settlement aligned with her financial circumstances.

Conclusion This case highlights how sudden household changes, health issues, and income fluctuations can push even previously stable borrowers into delinquency. Effective outreach, flexible hardship options, and borrower transparency remain essential for navigating such cases toward resolution.